Type MS · Preparing a manufacturer's income statement

Answer 1 of 8 · Question 1 part b · 13 marks

2025 JUN · Paper 02 · extract 1 of 2 · find part b in this mark scheme extract

1(a) **Award marks as indicated.**

Josh

Manufacturing account for the year ended 31 March 2025

	$	$	
Raw materials			
Opening inventory	12 630		
Purchases	164 830		
Closing inventory	(16 350)		
Cost of raw materials consumed		161 110	**(1)**
Direct wages		94 100	**(1)**
Royalties		6 000	**(1)**
Prime cost		261 210	**(1of)**
Overheads			
Electricity	11 200		**(1)**
Insurance	9 600		**(1)**
Factory rent	35 680		**(1)**
Supervisor wages	22 500		**(1)**
Depreciation	11 112		**(1)**
		90 092	**(1)**
Work-in-progress			
Opening inventory	11 850		
Closing inventory	(13 270)		
		(1 420)	**(1)**
Production cost		349 882	**(1of)**

(12)

Type MS · Preparing a manufacturer's income statement

Answer 1 of 8 · Question 1 part b · 13 marks

2025 JUN · Paper 02 · extract 2 of 2 · find part b in this mark scheme extract

Question number	Answer	Mark
1(b)	**Award marks as indicated.**	**(13)**

Josh

Income statement for the year ended 31 March 2025

	$	$
Revenue		502 500 **(1)**
Cost of sales		
Opening inventory	20 500	
Production cost	349 882 **(1of)**	
Purchases finished goods	14 000 **(1)**	
Closing inventory	(31 110) **(1fb)**	
		(353 272) **(1)**
Gross profit		149 228 **(1of)**
Administrative expenses	19 600	
Carriage outwards	3 180 **(1)**	
Electricity	2 800 **(1)**	
Insurance	2 400 **(1)**	
Rent	8 920 **(1)**	
Depreciation	2 778 **(1)**	
Wages	29 600 **(1)**	
		(69 278)
Profit for the year		79 950 **(1of)**

TOTAL FOR QUESTION 1 = 25 MARKS

Type MS · Preparing a manufacturer's income statement

Answer 2 of 8 · Question 2 part b · 9 marks

2020 NOV · Paper 02 · extract 1 of 4 · find part b in this mark scheme extract

2 (a) **Award marks as indicated with label.**

Hyat Manufacturing account for the year ended 31 December 2019		
	$	**$**
Prime cost		18 750
Factory overheads		
Depreciation - factory machinery	5 120 **(1)**	
Rent, rates and power	4 500 **(1)**	
Wages	15 250 **(1)**	
		24 870
		43 620
Opening work in progress	1 370 **(1)**	
Closing work in progress	(1 450)**(1)**	
		(80)
Production cost		43 540 **(1of)**

(6)

Type MS · Preparing a manufacturer's income statement

Answer 2 of 8 · Question 2 part b · 9 marks

2020 NOV · Paper 02 · extract 2 of 4 · find part b in this mark scheme extract

Question Number	Answer	Mark
2 (b)	**Award marks as indicated with label.**	**(9)**

Hyat
Income statement for the year ended 31 December 2019

	$	$
Revenue		68 000 **(1)**
Cost of sales		
Opening inventory	4 730	
Cost of production	43 540 **(1of)**	
Closing inventory	(5 180) **(1fb)**	
		(43 090) **(1of)**
Gross profit		24 910 **(1of)**
Expenses		
Administration expenses	11 725 **(1)**	
Rent, rates and power	1 500 **(1)**	
Wages	5 000 **(1)**	
		(18 225)
Profit for the year		6 685 **(1of)**

Question Number	Answer	Mark
2 (c)	**Award 1 mark for identifying the accruals concept and 1 mark for application.** **For example** To comply with the accruals/matching concept **(1)** by matching revenues earned with the expenses incurred during the same period **(1).**	**(2)**

Type MS · Preparing a manufacturer's income statement

Answer 2 of 8 · Question 2 part b · 9 marks

2020 NOV · Paper 02 · extract 3 of 4 · find part b in this mark scheme extract

Question Number	Answer	Mark
2 (d) (i)	**Award 1 mark for an introduction and up to 3 marks for development.** **For example** Current (working capital) ratio has not changed however the Liquid (acid test) ratio has deteriorated **(1).** The business will struggle to pay its short-term liabilities **(1)** with its liquid assets **(1)** as the business is holding more inventory compared to last year **(1).**	**(4)**

Question Number	Answer	Mark
2 (d) (ii)	**Award mark as indicated.** No **(1)**	**(1)**

Question number	Answer	Mark
2 (d) (iii)	**Award 1 mark for identification of an improvement and up to 2 marks for justification.** **For example** Negotiate better credit terms with suppliers **(1)** which will provide extra time to collect money from the customers **(1)** before paying suppliers **(1).**	**(3)**

Type MS · Preparing a manufacturer's income statement

Answer 2 of 8 · Question 2 part b · 9 marks

2020 NOV · Paper 02 · extract 4 of 4 · find part b in this mark scheme extract

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Type MS · Preparing a manufacturer's income statement

Answer 3 of 8 · Question 1 part b · 5 marks

2021 JUN · Paper 02 · extract 1 of 3 · find part b in this mark scheme extract

1(a) **Award marks as indicated.**

Leo

Manufacturing account for the year ended 31 March 2021

	$	$	
Opening inventory - raw materials		56 000	
Purchases	167 500		
Returns outwards	(17 500)		
		150 000	**(1)**
Carriage inwards		1 300	**(1)**
Closing inventory - raw materials		(44 000)	**(1fb)**
Cost of raw materials consumed		163 300	**(1of)+W**
Direct wages		82 400	**(1)**
Royalties		15 000	**(1)**
Prime cost		260 700	**(1of)+W**
Depreciation - plant and machinery	32 000		**(1)**
Depreciation - premises	37 500		**(1)**
Indirect expenses	79 500		**(1)**
Insurance	8 500		**(1)**
Electricity	13 500		**(1)**
Indirect wages	85 000		**(1)**
		256 000	
		516 700	
Opening inventory - work in progress	64 000		
Closing inventory - work in progress	(68 400)		
		(4 400)	**(1fb)**
Production cost		512 300	**(1of)+W**

(15)

Additional Guidance

fb = For both opening and closing inventories.

of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

(1of) +W mark is only awarded if both figure and words are present.

Type MS · Preparing a manufacturer's income statement

Answer 3 of 8 · Question 1 part b · 5 marks

2021 JUN · Paper 02 · extract 2 of 3 · find part b in this mark scheme extract

Question Number	Answer	Mark
1(b)	**Award marks as indicated.**	**(5)**

Leo
Income statement for the year ended 31 March 2021

	$	$	
Revenue	630 000		
Returns inwards	(12 000)		
		618 000	**(1)**
Cost of sales			
Opening inventory - finished goods	108 000		
Production cost	512 300		**(1of)**
Closing inventory - finished goods	(112 000)		**(1fb)**
		(508 300)	**(1of) + W**
Gross profit		109 700	**(1of) +W**

Additional Guidance

Award revenue $ 618 000 1 mark.

fb = For both opening and closing inventories.

of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

(1of) +W mark is only awarded if both figure and words are present.

Type MS · Preparing a manufacturer's income statement

Answer 3 of 8 · Question 1 part b · 5 marks

2021 JUN · Paper 02 · extract 3 of 3 · find part b in this mark scheme extract

Question Number	Answer	Mark
1(c)	**Award 1 mark for stating whether Leo is correct or incorrect with justification and up to 4 marks for supporting evidence.** **Sample answer** Leo is incorrect as both ratios have decreased indicating a deterioration in profitability **(1)** This is supported by: • the decrease in gross profit percentage which may be due to a lower selling price **(1)** or an increase in cost price **(1)** • the decrease in return on capital employed percentage which may be due to Leo introducing additional capital **(1)** or an increase in expenses **(1).**	**(5)**
Additional Guidance The sample answer is not definitive. Award marks for appropriate comments relating to a decrease in profitability but NOT referenced to liquidity.		

(Total for Question 1 = 25 marks)

Type MS · Preparing a manufacturer's income statement

Answer 4 of 8 · Question 1 part a · 11 marks

2021 NOV · Paper 02 · extract 1 of 3 · find part a in this mark scheme extract

1(a) **Award marks as indicated.**

Thomas
Income statement for the year ended 31 March 2021

	$	$	
Revenue		425 000	**(1)**
Cost of sales			
Opening inventory - finished goods	27 500		
Production cost	300 000		**(1)**
Closing inventory - finished goods	(30 000)		**(1)**
		(297 500)	**(1)**
Gross profit		127 500	**(1of)**
Expenses			
Administrative expenses	40 000		**(1)**
Carriage outwards	2 745		**(1)**
Depreciation charge-office equipment	3 200		**(1)**
Provision for irrecoverable debts	500		**(1)**
Office rent	27 000		**(1)**
		(73 445)	
Profit for the year		54 055	**(1of)**

(11)

Type MS · Preparing a manufacturer's income statement

Answer 4 of 8 · Question 1 part a · 11 marks

2021 NOV · Paper 02 · extract 2 of 3 · find part a in this mark scheme extract

Question number	Answer	Mark
1(b)	**Award marks as indicated.**	(9)

Thomas
Statement of financial Position at 31 March 2021

	$	$	$
Non - current assets	Cost	Accumulated depreciation	Carrying value
Plant and machinery	200 000	97 600	102 400 **(1)**
Office equipment	25 000	12 200	12 800 **(1)**
	225 000	109 800	115 200 **(1of)**
Current assets			
Inventories Raw materials Work in progress Finished goods	 25 000 11 000 30 000	 66 000 **(1)**	
Trade receivables	60 000 **(1)**		
Provision for irrecoverable debts	(3 000)		
		57 000 **(1)**	
Other receivables		5 000 **(1)**	
Cash in hand		800 **(1)**	
			128 800
Total Assets			244 000 **(1of)**

Type MS · Preparing a manufacturer's income statement

Answer 4 of 8 · Question 1 part a · 11 marks

2021 NOV · Paper 02 · extract 3 of 3 · find part a in this mark scheme extract

Question number	Answer	Mark
1(c)	**Award up to 2 marks for the evaluation of each ratio.** **Award 1 mark for overall conclusion.** **Sample answer** The current ratio has **improved** above the benchmark of 2:1 **(1)** indicating that he can **meet his short term debts** as they fall due **(1)** The liquid (acid test) ratio has also **improved** above the benchmark of 1:1 **(1)** indicating that he can meet his short term debts as they fall due **without the need to sell his inventory (1)** Yes, Thomas's statement is correct **(1)** **Accept any other appropriate responses**	**(5)**

(Total for Question 1 = 25 marks)

Type MS · Preparing a manufacturer's income statement

Answer 5 of 8 · Question 1 part a.ii · 4 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 3 · find part a.ii in this mark scheme extract

1(a)(i) **Award marks as indicated.**

Dina

Manufacturing account for the year ended 31 March 2022

	$	$	
Opening inventory - raw materials		9 640	
Purchases		98 400	**(1)**
Closing inventory - raw materials		(10 400)	**(1fb)**
Cost of raw materials consumed		97 640	**(1of)**
Direct wages		38 400	**(1)**
Royalties		1 780	**(1)**
Prime cost		137 820	**(1of)**
Factory overheads			
Depreciation charge - plant and machinery	17 200		**(1)**
Indirect wages	27 000		**(1)**
Insurance	3 200		**(1)**
Electricity	7 800		**(1)**
Factory rent	12 000		**(1)**
		67 200	
		205 020	
Opening inventory - work in progress	4 200		
Closing inventory - work in progress	(4 430)		
		(230)	**(1)**
Production cost		204 790	**(1of)**

(13)

Type MS · Preparing a manufacturer's income statement

Answer 5 of 8 · Question 1 part a.ii · 4 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 3 · find part a.ii in this mark scheme extract

Question number	Answer	Mark
1(a)(ii)	**Award marks as indicated.**	(4)

Dina
Income statement for the year ended 31 March 2022

	$	$
Revenue		385 000 **(1)**
Cost of sales		
Opening inventory — finished goods	6 750	
Production cost	204 790 **(1of)**	
	211 540	
Closing inventory — finished goods	(5 850) **(1fb)**	
Cost of goods sold		205 690
Gross profit		179 310 **(1of)**

Question number	Answer	Mark
1(b)(i)	**Award marks as indicated.**	(3)

Ratio	Formula
Gross profit percentage	Gross profit X 100 Revenue **(1)**
Profit for the year as a percentage of revenue	Profit for the year X 100 Revenue **(1)**
Return on capital employed.	Profit for the year X 100 Capital employed **(1)**

Type MS · Preparing a manufacturer's income statement

Answer 5 of 8 · Question 1 part a.ii · 4 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 3 · find part a.ii in this mark scheme extract

Question number	Answer	Mark
1(b)(ii)	**Award 1 mark for analysis of each ratio, 2 marks for development of the ratios and 1 mark for overall conclusion.** **Sample answer** The decrease in gross profit percentage may be due to a lower selling price and/or a higher cost of sales **(1).** Despite the fall in the gross profit percentage, the profit for the year as a percentage of revenue and the return on capital employed both improved **(1)** indicating better control over expenses **(1)** and more efficient use of resources **(1)**. So, Dina's statement is incorrect **(1)**. **Accept any other appropriate responses.**	**(5)**

(Total for Question 1 = 25 marks)

Type MS · Preparing a manufacturer's income statement

Answer 6 of 8 · Question 1 part c · 9 marks

2023 JUN · Paper 02 · extract 1 of 4 · find part c in this mark scheme extract

Number		
1(a)	**Award marks as indicated.** **Sample answer** Raw materials are purchased to be converted into finished goods **(1)** whereas work in progress is partly completed goods **(1)** and finished goods are those goods which are completed.**(1)** **Accept any other appropriate responses**	**(3)**

Type MS · Preparing a manufacturer's income statement

Answer 6 of 8 · Question 1 part c · 9 marks

2023 JUN · Paper 02 · extract 2 of 4 · find part c in this mark scheme extract

Question Number	Answer	Mark
1(b)	**Award marks as indicated.**	(11)

Dingle

Manufacturing account for the year ended 31 January 2023

	$	$
Raw materials		
Opening inventory of raw materials	21 200	
Purchases of raw materials	198 045	
	219 245	
Closing inventory of raw materials	(23 600)	
Cost of raw materials consumed		195 645 **(1)**
Direct wages		89 700
Direct expenses/royalties		41 300
Prime cost		326 645 **(1)**
Overheads		
Rent	36 800 **(1)**	
General expenses	32 400 **(1)**	
Power	41 500 **(1)**	
Insurance	6 240 **(1)**	
Supervisor salary	23 170 **(1)**	
Depreciation – machinery	19 200 **(1)**	159 310
		485 955 **(1of)**
Add: opening work in progress	19 100	
Less: closing work in progress	(18 400)	700 **(1)**
Production cost		486 655 **(1of)**

Type MS · Preparing a manufacturer's income statement

Answer 6 of 8 · Question 1 part c · 9 marks

2023 JUN · Paper 02 · extract 3 of 4 · find part c in this mark scheme extract

Question Number	Answer	Mark
1(c)	**Award marks as indicated.**	**(9)**

Dingle

Income statement for the year ended 31 January 2023

	$	$
Revenue		729 595
Cost of sales		
Opening inventory finished goods	23 000	
Production cost	486 655 **(1)**	
Closing inventory finished goods	(31 750)	(477 905) **(1of)**
Gross profit		251 690 **(1of)**
Expenses		
General expenses	3 600 **(1)**	
Rent	9 200 **(1)**	
Insurance	1 560 **(1)**	
Wages	16 590 **(1)**	
Depreciation – office equipment	6 750 **(1)**	37 700
Profit for the year		213 990 **(1of)**

Type MS · Preparing a manufacturer's income statement

Answer 6 of 8 · Question 1 part c · 9 marks

2023 JUN · Paper 02 · extract 4 of 4 · find part c in this mark scheme extract

Question Number	Answer	Mark
1(d)	**Award 1 mark for identification and 1 mark for development** **Sample answer** The manufacturer may have been unable to produce enough goods to meet demand **(1)** which could have been due to production problems **(1)** **Accept any other appropriate responses**	**(2)**

TOTAL FOR QUESTION 1 = 25 MARKS

Type MS · Preparing a manufacturer's income statement

Answer 7 of 8 · Question 1 part a.ii · 9 marks

2023 NOV · Paper 02 · extract 1 of 3 · find part a.ii in this mark scheme extract

1(a)(i) **Award marks as indicated.**

Yola
Manufacturing account for the year ended 31 March 2023

	$	$
Raw materials		
Opening inventory of raw materials	12 980	
Purchases	186 500	
Carriage inwards	1 610	
Closing inventory of raw materials	(19 170)	
Cost of raw materials consumed		181 920 **(1)**
Direct expenses/royalties		12 000 **(1)**
Direct wages		95 600 **(1)**
Prime cost		289 520 **(1)**
Overheads		
Electricity	10 500 **(1)**	
Insurance	5 600 **(1)**	
Rent	57 400 **(1)**	
Supervisor wages	37 750 **(1)**	
Depreciation – production machinery	25 100 **(1)**	136 350
		425 870
Opening inventory of work in progress	12 340	
Closing inventory of work in progress	(11 170)	1 170 **(1fb)**
Production cost		427 040 **(1)**

(11)

Type MS · Preparing a manufacturer's income statement

Answer 7 of 8 · Question 1 part a.ii · 9 marks

2023 NOV · Paper 02 · extract 2 of 3 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
1(a)(ii)	**Award marks as indicated.**	**(9)**

Yola
Income statement for the year ended 31 March 2023

	$	$
Revenue		827 500 **(1)**
Cost of sales		
Opening inventory of finished goods	20 100	
Production cost	427 040 **(1of)**	
Closing inventory of finished goods	(37 800) **(1fb)**	
		(409 340)**(1)**
Gross profit		418 160 **(1of)**
Carriage outwards	2 390	
Electricity	4 500 **(1)**	
Insurance	2 400 **(1)**	
Wages	21 500 **(1)**	
		(30 790)
Profit for the year		387 370 **(1of)**

Type MS · Preparing a manufacturer's income statement

Answer 7 of 8 · Question 1 part a.ii · 9 marks

2023 NOV · Paper 02 · extract 3 of 3 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
1(b)(i)	**Award 1 mark for identification and 1 mark for linked development.** The current ratio has deteriorated **(1)** indicating that Yola may find it difficult to meet short term debts as they become due **(1)** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
1(b)(ii)	**Award 1 mark for identification and up to 2 marks for limited development.** Yola may invest additional capital **(1)** which will result in current assets increasing **(1)** with no effect on current liabilities **(1)** **Accept any other appropriate responses**	**(3)**

TOTAL FOR QUESTION 1 = 25 MARKS

Type MS · Preparing a manufacturer's income statement

Answer 8 of 8 · Question 1 part a.ii · 5 marks

2025 NOV · Paper 02 · extract 1 of 3 · find part a.ii in this mark scheme extract

1(a) (i) **Award marks as indicated.**

Joleene

Manufacturing account for the year ended 30 September 2025

	$	$	
Raw materials			
Opening inventory	48 900		
Purchases	134 020		
Returns outwards	(4 500)		
Transport costs	6 400		**(1)**
Drawings	(500)		**(1)**
Closing inventory	(54 320)		
Cost of raw materials consumed		130 000	**(1)**
Direct wages	25 500		**(1)**
Direct factory expenses	18 250		
		43 750	
Prime cost		173 750	**(1)**
Overheads			
Indirect factory expenses	24 500		**(1)**
Indirect labour	29 750		**(1)**
Insurance	16 000		**(1)**
Lighting and Heating	25 000		**(1)**
Machinery repairs	1 880		**(1)**
Rent and rates	18 675		**(1)**
Supervisor salary	35 000		**(1)**
Depreciation – factory machinery	35 840		**(1)**
		186 645	
Work in progress			
Opening inventory	23 100		
Closing inventory	(24 270)		
		(1 170)	**(1)**

(15)

Type MS · Preparing a manufacturer's income statement

Answer 8 of 8 · Question 1 part a.ii · 5 marks

2025 NOV · Paper 02 · extract 2 of 3 · find part a.ii in this mark scheme extract

	Production cost		359 225	**(1)**	

Question number	Answer	Mark
1(a) (ii)	**Award marks as indicated.**	

Joleene

Income statement for the year ended 30 September 2025

	$	$	
Revenue	543 100		
Returns inwards	32 100		
		511 000	
Cost of sales			
Opening inventory	12 870		
Production cost	359 225		**(1of)**
Purchases	11 930		**(1)**
Returns outwards	(1 200)		
Drawings	(750)		**(1)**
Closing inventory	(10 850)		
		(371 225)	**(1of)**
Gross profit		139 775	**(1of)**

(5)

Question Number	Answer	Mark

Type MS · Preparing a manufacturer's income statement

Answer 8 of 8 · Question 1 part a.ii · 5 marks

2025 NOV · Paper 02 · extract 3 of 3 · find part a.ii in this mark scheme extract

1(b)	**Award up to 2 marks for an explanation of the business entity concept** **Award up to 2 marks for the effect on the financial statements.** **Award 1 mark for an overall conclusion.** **Sample answer** If Joleene does not keep a record of goods and cash taken for her own use, she would not be able to comply with the **business entity** concept **(1)** which states that the business has a separate existence from that of its owner **(1).** If Joleene does not maintain any record of goods taken for her own use, then the gross profit will be understated **(1)** as the cost of goods sold will be overstated by the amount of goods she has taken **(1)**. I would advise Joleene to maintain a record of her drawings **(1)**. **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 1 = 25 MARKS